

The Mekong Manufacturing Corridor

Cambodia, Laos, Myanmar - Frontier ASEAN in China's Shadow

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"Three nations, one gravitational field. China builds the roads, rails, and dams; the West buys the garments; and Cambodia, Laos, and Myanmar navigate the space between empires."

I. Opening: The Mekong's Three Forgotten Nations

In the grand narrative of Asia's manufacturing renaissance, the spotlight falls on Vietnam's electronics boom, Thailand's automotive clusters, and Indonesia's rising consumer base. Yet three nations straddling the Mekong River's lower basin — Cambodia, Laos, and Myanmar — occupy a more ambiguous and analytically underappreciated position in the global supply chain hierarchy. Smaller, poorer, and far less institutionally stable than their ASEAN peers, they nonetheless weave the garments worn on European high streets, transmit electricity to Chinese grid operators, and absorb staggering volumes of Chinese capital in return for political acquiescence, strategic geography, and cheap labour.

Cambodia is the most legible of the three: a garment republic whose economy has been constructed almost entirely around the needle and thread, now registering \$15.7 billion in garment, footwear, and travel goods exports in 2025 — a 15.8% year-on-year surge — even as European human rights pressure and Chinese investment transformation reshape its competitive landscape.

Laos is the least visible: landlocked, mountainous, and chronically indebted, it has nonetheless become the linchpin of China's physical infrastructure ambition in mainland Southeast Asia. The 1,000-kilometre Boten–Vientiane high-speed railway, operational since 2021, now carries 23 trains per day across the border — a tenfold increase from inception — while Chinese engineers complete a 500 kV cross-border power line enabling 1.5 million kilowatts of electricity exchange. The price: more than half of Laos' public debt is now owed to Beijing.

Myanmar is the most dangerous: a military state since the February 2021 coup, subjected to cascading international sanctions, 40% US tariffs, EU trade preference suspensions, and a civil war that has rendered significant parts of its manufacturing geography inaccessible. Yet factories still run in Yangon's industrial zones — Chinese-owned, Chinese-staffed, supplying Chinese brands and, controversially, continuing to feed European fast fashion chains. Myanmar's garment sector exported \$4.46 billion in 2024, down from \$5.5 billion in 2022, a decline that accelerates with every factory closure notice.

All three nations orbit China's gravitational pull — through debt, infrastructure dependency, FDI domination, and the personal political relationships cultivated assiduously by Beijing over three decades. Yet all three also remain plugged into Western supply chains: the EU's duty-free EBA framework props up Cambodia's garment industry; European brands source from Myanmar despite activist pressure; and Laos' electricity revenues flow, ultimately, from power purchase agreements underpinned by Thai and Chinese utilities. The strategic paradox is acute: these nations need China to build and finance, and need the West to buy. Neither patron is fully satisfied. Neither can be abandoned.

This report investigates each country in depth, examines the cross-cutting China factor, measures the competitive threat from Bangladesh and Ethiopia, and offers a superforecast on where these three frontier economies stand in 2030.

II. Cambodia — The Garment Republic Under Pressure

The Garment Economy: Scale and Structure

Cambodia's economic identity is, to a degree unusual even among least-developed countries, defined by a single industry. The garment, footwear, and travel goods (GFT) sector produced exports worth \$15.7 billion in 2025, a 15.8% increase year-on-year, and accounted for nearly half of the country's total exports. Total trade reached \$65.2 billion in 2025, an 18% year-on-year increase, cementing Cambodia's role as a regional manufacturing and logistics platform.

The sector employs an estimated 700,000 to 900,000 workers, predominantly women, in 1,682 registered factories as of June 2025. The garment minimum wage rose to \$208 per month in 2025, up from \$204 in 2024, with a further increase to \$210 confirmed for 2026. Workers, unions, and NGOs consistently argue this remains below a living wage — estimates put the required living wage at roughly \$350–\$400 per month — but the minimum wage nonetheless positions Cambodia competitively against Bangladesh (\$95/month) and Myanmar (\$85/month equivalent).

Cambodia's garment export destinations are dominated by the United States and the European Union, with the US accounting for the largest share by value. The EU relationship is governed by the Everything But Arms (EBA) arrangement, under which approximately 75% of Cambodia's exports enter duty- and quota-free. Total EU imports from Cambodia amounted to approximately €5.5 billion in 2024 (up from €4.8 billion in 2023), of which preferential imports were €4.2 billion.

The EBA Complication

The EU's partial withdrawal of EBA preferences in February 2020 — triggered by serious and systematic violations of civil and political rights under the Hun Sen government — removed tariff-free access for approximately 20% of Cambodia's exports to Europe, including garments in certain categories. Despite this, 88% of eligible exports continued to enter the EU at preferential rates in 2023, indicating that the withdrawal, while politically symbolic, did not collapse the trading relationship.

The EU's updated GSP Regulation was signed on 18 June 2026 and published in the Official Journal on 22 June 2026, with new rules applying from 1 January 2027 for a ten-year period. Cambodia's long-term EBA eligibility depends on its political trajectory: the Hun Manet succession from his father Hun Sen, effected in August 2023, was framed as a generational modernisation but has not substantively altered political structures. If Cambodia's human rights situation deteriorates, or if it fails to meet the new GSP framework's democratic governance benchmarks, the risk of deeper EBA withdrawal is real — a risk that could cost the garment sector hundreds of millions in euros of annual tariff advantage.

Chinese Investment Surge

The defining structural shift in Cambodia's economy over 2023–2026 is the scale and pace of Chinese investment. In 2025, Cambodia attracted \$5.1–\$5.2 billion in total FDI, with China accounting for over 70% of inflows by value. China's FDI share in Q1 2026 was 46.77% of total approved investment, or US\$1.169 billion in a single quarter.

Manufacturing received 68.1% of FDI, focused on garments, electronics assembly, and export-oriented light industry. Cambodia has 57 special economic zones, 11 of which are Chinese-funded. In the first two months of 2025, nearly 80% of total capital invested in Cambodia originated from China. In January 2026, the Council for the Development of Cambodia deliberated on an application from Cambodia Shanghai

Special Economic Zone Co., Ltd., a 455-hectare industrial park proposed for Kampong Speu.

This investment surge carries a dual character. On the positive side, it generates manufacturing employment, builds industrial park infrastructure, and diversifies the base of Cambodia's export-oriented production. On the negative side, it raises questions of dependency, sovereignty, and the degree to which "Cambodia's" manufacturing sector is actually Chinese-owned manufacturing operating from Cambodian soil. When 70%+ of FDI comes from a single country, and that country is a strategic rival to your primary export markets, the political risk calculus becomes extremely delicate.

Sihanoukville: The Casino Laboratory

No analysis of Cambodia's Chinese economic relationship is complete without examining Sihanoukville. Between 2017 and 2019, the sleepy port town was transformed by an explosion of Chinese-owned casinos, hotels, and entertainment complexes. At peak, approximately 80 Chinese casinos operated there, with Chinese nationals owning an estimated 90% of businesses. Chinese tourists came to gamble in what was essentially a Chinese-law-exempt jurisdiction, driving real estate prices to absurd levels and crowding out the pre-existing Khmer commercial ecosystem.

The casino economy generated up to \$5 billion in revenues in 2020 at its height. The Cambodian government, responding to international pressure and the COVID-19 collapse of Chinese tourism, banned online gambling in 2019 and shut down many casino licences. Hun Manet, then military chief and now Prime Minister, explicitly rejected comparisons to Macau as early as his pre-leadership period.

By 2025, Sihanoukville's casino economy has partially unwound, but the infrastructure and Chinese commercial presence remain. The town represents a cautionary tale about what happens when a sovereign state outsources an urban economy to a foreign capital class — and the governance challenges involved in reclaiming it. The deeper manufacturing economy Cambodia is now trying to build must navigate the reputational shadow cast by the casino years.

Diversification Attempts

Cambodia's industrial output is projected to rise by 9.3% in 2025 and 2026, driven not just by garments but by a diversification push into electronics, electrical appliances, bicycles, automotive parts, furniture, renewable energy, and agro-processing. Cambodia's total trade reached \$65.2 billion in 2025 with exports of \$31.3 billion. The World Bank projects GDP growth of 4.3% in 2026, accelerating to 5.1% in 2027, while the ADB had projected 6.1–6.2%.

Digital economy development remains nascent. Strategic investments in digital public infrastructure have been identified as a policy priority, but meaningful economic diversification into services, fintech, or digital exports remains a 2028–2030 horizon ambition rather than a 2026 reality. Cambodia is a low-middle-income garment republic, and its escape from that condition requires sustained political stability, institutional upgrading, and Chinese investment management that does not simply reproduce dependency in a different sector.

III. Laos — China's Landlocked Battery

Geography as Destiny

Laos is the only landlocked country in Southeast Asia — a geographical fact that has shaped every dimension of its economic history. Without ocean access, Laos cannot easily participate in the container-shipping supply chains that define ASEAN manufacturing. Its mountain terrain limits agricultural scale. Its small population of approximately 7.4 million provides insufficient domestic demand. For most of its modern history, Laos appeared structurally destined to remain a poor, isolated state dependent on agricultural subsistence, timber, and narcotics — the latter a legacy of its Golden Triangle geography.

China's Belt and Road Initiative changed that calculus, at a price.

The China-Laos Railway

The Boten–Vientiane railway, inaugurated in December 2021, is the single most consequential infrastructure project in Laos' history. Stretching approximately 1,000 kilometres from the Chinese border at Boten to the capital Vientiane, the \$6 billion line was built largely with Chinese financing, by Chinese contractors, using Chinese equipment and substantial Chinese labour. It connects directly to the Kunming railway network in Yunnan province, giving landlocked Laos, for the first time, a high-speed rail link to the Chinese economic heartland.

The operational performance has been striking. By 2026, the line carries 23 trains per day across the border, a more than tenfold increase from its early operating level of two trains. Freight throughput approached 3 million tonnes in the first half of 2025, up 8.8% year-on-year. The World Bank estimates the railway has slashed shipping costs between China and Laos by 40–50% and reduced domestic logistics costs within Laos by 20–40%.

The railway carries both freight and passengers, providing the missing link in a pan-Asian connectivity corridor stretching from Kunming through Vientiane to Bangkok and ultimately Singapore. Daily cross-border cargo services benefit commodity exporters — potash, copper, agricultural produce — but the deeper strategic value lies in Laos' transformation from a dead-end to a transit state. Chinese goods can now flow south; Southeast Asian goods can flow north. Laos is, in theory, positioned to capture transit fees, logistics revenue, and SEZ investment at railway stations.

Special Economic Zones: The Data

As of early 2025, twelve SEZs across Laos have attracted \$5.7 billion in total investment. Chinese firms account for 160 enterprises, with \$1.5 billion invested, representing 23% of total SEZ investment. The Boten Beautiful Land SEZ in Luang Namtha province, adjacent to the Chinese border, functions effectively as an extension of the Chinese economic space: Renminbi circulates freely, Chinese signage dominates, and Chinese traders operate with minimal regulatory friction.

The Savan-Seno SEZ in Savannakhet, positioned along the East-West Economic Corridor linking Vietnam's Da Nang port to Thailand's Laem Chabang, attracts more diverse investment — Japanese, Thai, and other ASEAN manufacturers seeking corridor logistics advantages. However, in SEZ investment overall, services and trade sectors dominate at 44% and 42% respectively, while industrial manufacturing accounts for only 14%. This sectoral composition reveals a structural weakness: Laos' SEZs are currently better at facilitating trade and Chinese commercial presence than at building genuine manufacturing industrial clusters.

The Battery Ambition

Laos' electricity export strategy — the "Battery of Southeast Asia" vision — is more advanced than its manufacturing ambitions and arguably more consequential. Laos exports hydroelectric power to Thailand, China, Vietnam, and Cambodia under long-term power purchase agreements. Plans target 9,000 MW of exports to Thailand by 2025 and 20,000 MW total by 2030. The large hydropower installed capacity is forecast to reach 16 GW by 2035.

The China-Laos 500 kV cross-border power interconnection project, launched in 2025 and scheduled for completion in 2026, will enable two-way electricity exchange capacity of 1.5 million kilowatts and deliver approximately 3 billion kilowatt-hours of clean electricity annually. The 230 kV Thavieng-Mahaxay transmission line officially broke ground on 1 January 2026.

For a landlocked country that cannot export manufactured goods cheaply, electricity transmission bypasses the geography problem entirely. Power flows in cables, not containers. The "battery" model — generate hydroelectric power, export via grid to larger neighbours — is uniquely suited to Laos'

topography, which provides over 2,000 metres of average elevation and the Mekong River system's enormous hydraulic head. It is, however, environmentally contested: downstream communities in Cambodia, Vietnam, and Thailand have documented significant impacts from Laos' proliferating dam network on fish stocks, sediment flow, and agricultural water availability.

The electricity export revenue provides Laos with hard currency — but not in sufficient volume to address its debt crisis.

The Debt Trap

Laos' debt position is among the most precarious of any developing economy in the world. Total public and publicly guaranteed debt is estimated to exceed 100% of GDP. Just over half of this is owed to China, primarily for the railway and associated infrastructure. Between 2000 and 2023, Chinese official creditors committed \$22.5 billion in grant and loan financing for 367 projects.

Annual debt service payments to China run at approximately \$700 million per year until 2028. If required to pay in full, total debt service in 2025 would equal approximately 90% of total foreign exchange reserves. The IMF's 2025 Article IV analysis assumed a 50% principal repayment deferral for 2026, suggesting that Beijing has, in effect, rolled over payments to prevent formal default — a courtesy that preserves the debt instrument's political leverage while giving Laos breathing room.

The kyat depreciation analogy is instructive: Laos' kip has also depreciated sharply, compounding the dollar-denominated debt burden. Inflation peaked at 40%+ in 2022–2023 before partially retreating. Fuel shortages, electricity blackouts in the capital (despite being a net electricity exporter), and widespread dollarisation have characterised daily economic life. Laos risks the condition identified by debt trap analysts: infrastructure that serves the creditor nation's transit and export interests, financed by loans the debtor nation cannot repay, potentially leading to asset concessions.

A data centre potential narrative has emerged — Laos' low-cost hydroelectric power, sub-tropical mountain climate (in northern regions), and China-Laos rail connectivity are cited as advantages for cloud infrastructure investment. This remains speculative at current scale, but warrants monitoring as a potential new revenue vertical alongside electricity exports.

IV. Myanmar — Manufacturing Under the Junta

The Coup and Its Economic Consequences

Myanmar's February 2021 military coup — which overthrew the elected National League for Democracy government and imprisoned State Counsellor Aung San Suu Kyi — triggered the most severe economic dislocation in ASEAN in a generation. In the five years following the coup (2021–2025), total FDI inflows were \$7.4 billion, compared to \$28.7 billion in the preceding five years — a collapse of nearly three-quarters. By more recent measures, FDI value fell from MMK 1.8 trillion (\$690 million) in FY2024-25 to MMK 642 billion (\$248 million) in just the first seven months of FY2025-26.

The IMF, World Bank, and bilateral development agencies suspended lending and technical assistance. Western multinationals departed. Myanmar's banking sector became partially isolated from SWIFT. The kyat lost approximately 70% of its value against the US dollar since the coup, crushing real wages. A military junta regulation requiring all incoming foreign exchange to be converted within 24 hours at a preferential (below-market) rate effectively taxes exporters and further deters foreign investment.

Myanmar is now classified by IndustriALL Global Union as a "war economy, not a sourcing destination" — the civil conflict between the Tatmadaw (military) and the People's Defence Forces, allied ethnic armed organisations, and resistance fighters has spread to multiple states, disrupted transport corridors, and made supply chain assurance essentially impossible to verify in many geographies.

The Garment Sector: Contraction Under Fire

Myanmar's garment sector was, before the coup, a genuinely promising low-cost manufacturing base. In 2022, garment exports reached \$5.5 billion. By 2024, this had fallen to \$4.46 billion. The sector accounts for over 72% of Myanmar's total exports to the United States, and employs an estimated 450,000 workers — predominantly women — earning less than \$85 per month, below what ILO research identifies as the survival threshold.

The factory closure wave has been stark. In December 2023, 298 garment factories shut across Myanmar — 36% of total. By 2025–2026, individual factory closures continued at a sustained pace:

- April 2026: Two Primark suppliers — GTIG Huasheng and Primseng Guo — closed without advance notice in Yangon's Wartayar Industrial Zone, stranding approximately 2,200 workers.
- May 2026: An H&M supplier factory closed after a decade in operation, citing a slump in global orders.
- June 2026: Chinese-owned Wuhan Kingsrich garment factory in Shwepyithar Industrial Zone issued a closure notice, citing "reassessment of global strategic plans."

The US tariff shock delivered in April 2025 — a 40% reciprocal tariff on all Myanmar imports, described as among the highest in the world — struck the sector at an already fragile moment. The 40% tariff renders most Myanmar garment exports to the US uncompetitive on price versus Bangladesh, Vietnam, or even Cambodia (which faces lower US tariff rates). Western brands, already under activist pressure to exit Myanmar for sourcing from a junta-controlled economy, now face a direct cost incentive to shift sourcing.

The EU position is more complex. Under EBA, Myanmar retained duty-free access as an LDC. However, the ILO's invocation of Article 33 of its Constitution in June 2025 — its most severe censure mechanism — called on member states to review their economic relations with Myanmar to ensure no indirect contribution to ongoing abuses. This creates strong pressure for European brands to exit or substantially reduce Myanmar sourcing, and for the EU to consider formal trade preference suspension for Myanmar comparable to what was applied to Cambodia.

China's Continued Engagement

With Western capital fleeing, China has deepened its position. Chinese investors accounted for 47% of total FDI inflows between 2021 and 2025. In 2024, Chinese investments worth \$5.6 billion were announced, including the resumption of the New Yangon City project and a \$2 billion LNG terminal. The Myanmar-China Investment and Promotion Team (MCIPT) launched a five-year strategy (2026–2030) targeting agriculture, logistics, transport, mining, and fisheries. The stated ambitions — raising Chinese FDI in Myanmar to \$500 billion and bilateral trade to \$100 billion — appear highly aspirational given current economic conditions, but signal Beijing's intent to use the crisis as an opportunity for deeper economic capture.

China's strategic calculus is unsentimental: it requires access to the Bay of Bengal via Myanmar (the China-Myanmar Economic Corridor and Kyaukphyu deep-water port), and it requires Myanmar to remain a buffer state on its southwestern flank. It therefore sustains the junta economically while simultaneously managing relationships with ethnic armed organisations along the Yunnan border — a dual-track engagement that infuriates the junta while preserving Chinese options regardless of who ultimately governs Yangon.

India maintains a more modest presence, supporting some border infrastructure projects and seeking influence in Rakhine State for Bay of Bengal access. But as of mid-2026, Chinese investment inflows into Myanmar outpace Indian investment by a wide margin in both scale and ambition.

The Human Element and Ethical Supply Chain

Myanmar's manufacturing economy cannot be discussed without confronting its human dimension. Approximately 450,000 garment workers earn below subsistence wages, in a context where the kyat has collapsed, inflation has been severe, and labour organising is suppressed. When factories close without notice — as in the Primark supplier case — workers receive no statutory redundancy, no legal recourse, and face destitution. Workers who strike risk detention by the military government.

The military-business complex adds a further ethical layer: several major conglomerates operating in Myanmar — including in garment manufacturing — have ownership links to military-affiliated entities subject to international sanctions. Brands sourcing from such factories are, at minimum, materially supporting the junta's revenue base via the mandatory foreign exchange conversion requirement.

The supply chain ethics dilemma is genuine: a complete Western exodus from Myanmar's garment sector would deprive 450,000+ workers of income they have no immediate replacement for, worsening humanitarian conditions in the short term. Yet continued sourcing sustains the junta's hard currency lifeline. This tension has no clean resolution and represents one of the defining sourcing ethics questions of the mid-2020s.

V. The China Factor Across All Three

FDI Patterns

China is the dominant foreign investor in all three Mekong corridor nations, but the mechanisms differ. In Cambodia, Chinese FDI is primarily private-sector driven — manufacturing facilities, SEZ development, casino and real estate — with state-backed infrastructure (deep-water port at Sihanoukville, roads, bridges) playing a supporting role. In Laos, state-backed financing via the Export-Import Bank of China and China Development Bank is the primary channel, funding the railway, power infrastructure, and SEZ development that forms the backbone of the bilateral economic relationship. In Myanmar, a hybrid of state-aligned corporations, private entrepreneurs, and political-military affiliates drives Chinese investment, with the state backstopping strategic assets like the Kyaukphyu port.

The cumulative effect is economic integration that goes beyond conventional FDI. Chinese businesses occupy high-value positions in local supply chains — owning garment factories in Cambodia, staffing them with Chinese managers and technicians, and often procuring inputs (fabric, accessories) from Chinese suppliers — producing goods that are then labelled "Made in Cambodia" for EU or US duty preference purposes. This "factoryless manufacturing via satellite" model extracts value from the host country's trade preferences without necessarily building local industrial capacity.

Infrastructure as Economic Capture

The Mekong is one of the world's great rivers, and China controls its upper reaches. Eleven major dams on the Chinese-controlled upper Mekong (Lancang) regulate downstream water flow to Cambodia, Laos, Vietnam, and Thailand. The power relationship encoded in this hydraulic control — which can reduce or increase downstream flows at will — extends to the infrastructure built in lower Mekong states. Roads, dams, railways, and power grids built with Chinese financing require Chinese equipment, generate Chinese contractor revenues, and create operational dependencies on Chinese technical expertise.

The China-Laos Railway is the paradigm case. When Laos' state railway enterprise Lao National Railways operates the line, it does so through a joint venture — Laos-China Railway Company (LCRC) — in which the Chinese partner holds 70%. Chinese staff train Lao counterparts. Chinese equipment standards apply. Chinese payment systems are integrated. The railway is, in operational terms, a Chinese-managed infrastructure concession on Laotian soil.

Currency and Trade Dependence

The Chinese yuan (renminbi) circulates freely in border towns, SEZs, and commercial districts across all three countries, functioning de facto as a parallel currency alongside official legal tender. In Boten, the yuan is essentially the primary currency. In Sihanoukville's commercial zones, yuan-denominated transactions are normalised. This informal dollarisation — or "yuanisation" — reduces transaction costs for Chinese businesses operating locally but also imports Chinese monetary policy conditions into these economies.

The "Rubber Stamp" SEZ Model

The most critiqued version of Chinese SEZ development in the Mekong is the "China builds, China staffs, China profits" model. In Boten Beautiful Land SEZ (Laos), the operator is a Chinese company, the workers are predominantly Chinese, the businesses are overwhelmingly Chinese, and the economic linkages to surrounding Lao communities are thin. The Lao government receives land lease revenue and some tax income, but the zone functions more as a Chinese economic enclave — with its own governance, language, and commercial ecosystem — than as a development catalyst for the host economy.

This model is not uniformly applied. Savan-Seno SEZ in Laos has more diverse investment and meaningful Thai and Japanese presence. Cambodia's Phnom Penh SEZ involves Japanese-managed industrial park operations with genuine technology transfer. But the pattern in frontier zones, where governance is weakest and Chinese capital has most latitude, is clear enough to constitute a systematic feature of Belt and Road SEZ architecture in mainland Southeast Asia.

VI. The Bangladesh-Ethiopia Competition

Bangladesh: The Benchmark

Bangladesh is the unavoidable competitive benchmark for the Mekong corridor's garment ambitions. Bangladesh shipped approximately \$47 billion in ready-made garments in FY2024-25, holding its position as the world's second-largest apparel exporter behind China. Bangladesh commands over one-fifth of the EU apparel market. It employs approximately 4 million garment workers. Its cost structure, despite rising wages, remains competitive with Myanmar (let alone Cambodia) for high-volume, price-sensitive orders.

Bangladesh's advantages: enormous scale, deep supplier ecosystems, specialist fabric mills, established brand relationships, and — until 2029 — continued LDC duty-free access to the EU. Its vulnerabilities: pending LDC graduation (from which a three-year grace period applies, ending approximately 2029), climate vulnerability (coastal flooding, cyclone risk), political instability, and rising wages.

The Mekong corridor's best response to Bangladesh is not price competition — Cambodia at \$208/month minimum wage is already more expensive than Bangladesh's equivalent — but quality differentiation, shorter lead times, and access to specific origin-based duty preferences that Bangladesh does not hold with certain markets. Cambodia's entry into RCEP, for instance, creates new value chain integration possibilities within Asia that Bangladesh, as a non-RCEP member, cannot access on equivalent terms.

Ethiopia: The African Frontier

Ethiopia's Hawassa Industrial Park and associated garment export zone represented, in the late 2010s, a credible threat to Mekong corridor competitiveness — offering sub-\$100/month wages, US AGOA duty-free access, and major brand anchor tenants including PVH and H&M. Ethiopia's export ambitions were to reach \$30 billion in manufactured goods by 2025.

Those ambitions collapsed. The Tigray conflict (2020–2022), subsequent political instability, suspension of AGOA eligibility in 2021, foreign exchange shortages, and infrastructure unreliability drove most anchor tenants out. Ethiopia is no longer a meaningful competitive threat to Mekong garment producers

in the near term.

The Ethiopia case is instructive for Myanmar specifically: it demonstrates that political instability can destroy a manufacturing ecosystem that took a decade to build, in less than three years. It also demonstrates that Western brands will exit — despite sunk costs and supplier relationships — when sourcing from a conflict state becomes ethically and reputationally untenable. Myanmar faces precisely this dynamic; its window for retaining Western sourcing relationships may be shorter than the junta's economic planners assume.

What the Mekong Corridor Must Offer

Against both Bangladesh and potentially Vietnam (which competes at the higher-value end), the Mekong frontier corridor's competitive positioning must be specific:

1. Origin-based duty preferences: Cambodia's EBA/GSP access and RCEP membership provide tariff advantages in EU and Asian markets that Bangladesh and Myanmar (absent preferential access) cannot match on certain product categories.
2. Proximity and logistics: The China-Laos railway reduces lead times for Chinese fabric inputs to Laos-based assemblers. Cambodia's proximity to Ho Chi Minh City's logistics ecosystem enables fabric-forward linkages. Myanmar's access to both Indian Ocean shipping (Thilawa port) and overland Chinese routes is a theoretical advantage.
3. Ethical sourcing windows: For Cambodia (and potentially Laos), the relatively stable political environment compared to Myanmar or Bangladesh (with its own recent political turbulence) creates a "safe sourcing" premium for risk-averse brands.
4. Scale differentiation: The Mekong frontier is suited to medium-volume, differentiated product orders — not the mega-volume commodity orders that Bangladesh's scale enables.

VII. Potential and Constraints

Regional Infrastructure: The GMS Programme

The Greater Mekong Subregion (GMS) programme, coordinated by the Asian Development Bank, has invested in six economic corridors linking China, Myanmar, Laos, Thailand, Cambodia, and Vietnam. The North-South, East-West, and Southern Economic Corridors provide multimodal transport links — road, rail, and river — that theoretically create a contiguous manufacturing and logistics zone across mainland Southeast Asia. Fifteen GMS infrastructure projects were identified in the ASEAN Connectivity Priority Pipeline, with Myanmar having five, Laos four, Thailand three, Vietnam two, and Cambodia one.

The updated ASEAN Connectivity Strategic Plan (adopted May 2025) focuses on sustainable infrastructure, digital innovation, seamless logistics, regulatory excellence, and people mobility. The plan provides a multilateral governance framework that, in theory, distributes connectivity benefits more equitably than bilateral Chinese infrastructure deals. In practice, the GMS programme and Chinese BRI infrastructure operate in parallel and sometimes competitive frameworks — Chinese dams and Chinese railways are not ADB-financed and are not governed by the same transparency or environmental standards.

Energy Resources

Laos' hydropower potential — targeting 16 GW installed capacity by 2035 — is the region's most distinctive energy asset. For manufacturing, cheap and reliable electricity is a critical input. Laos' ability to supply industrial power at competitive rates to SEZ tenants is a genuine locational advantage, IF the political and infrastructure environment can be stabilised. Cambodia's renewable energy programme is

earlier-stage, but solar investment has grown significantly.

Myanmar's electricity supply has deteriorated catastrophically since the coup: rolling blackouts in Yangon, reduced hydroelectric output, fuel import restrictions, and the military's use of energy access as a tool of political control have crippled industrial productivity. Factory owners in Yangon's industrial zones cite power availability as a primary operational constraint, often requiring costly diesel backup generation that erases the low-wage cost advantage.

Agriculture and Agri-Processing

All three countries have significant agricultural bases — Cambodia in rice, cassava, and rubber; Laos in coffee (Bolaven Plateau), timber, and mining; Myanmar in rice, pulses, and fish. Agri-processing — value addition to raw commodities through milling, packaging, and food-grade processing — represents a second potential manufacturing trajectory alongside garments. Chinese FDI is increasingly targeting agricultural processing in Cambodia and Myanmar, seeking to capture processing margins before shipping to Chinese consumers.

The constraint: agricultural processing requires the same conditions as any manufacturing — reliable power, transport infrastructure, cold chain logistics, and regulatory predictability — none of which can be guaranteed in Myanmar, and which remain thin in Laos outside the railway corridor.

VIII. Superforecast: 2026–2031

The following probabilistic assessments synthesise available evidence across political, economic, and structural dimensions. These are analytical judgements, not investment recommendations.

Cambodia — Probability that garment exports sustain above \$15 billion annually through 2028: 70%. The structural drivers — EBA/GSP preferences, established brand relationships, growing Chinese-funded manufacturing base, and stable political environment — are intact. The primary risk is a material deepening of EBA withdrawal triggered by political regression under Hun Manet, or a US tariff escalation targeting Cambodia specifically for Chinese manufacturing "transshipment." The tariff risk is non-trivial: US customs enforcement of origin rules is increasing.

Cambodia — Probability of meaningful economic diversification beyond garments by 2028: 35%. Electronics and electrical appliance FDI is real but embryonic. Digital economy development is policy aspiration more than commercial reality. The garment sector's dominance creates path dependency that is difficult to break in a five-year horizon.

Laos — Probability of debt restructuring agreement with China by 2028: 60%. The IMF's assumption of continued principal payment deferrals through 2026 reflects Beijing's willingness to roll over obligations rather than force a formal default that would attract international attention. A bilateral renegotiation — likely involving extended maturities, reduced interest, and potentially implicit asset concessions — is the most probable debt resolution mechanism within five years.

Laos — Probability that electricity exports exceed 5,000 MW to China and Thailand combined by 2028: 65%. The 500 kV interconnection project completion (2026) and continued hydropower capacity expansion make this trajectory likely absent major environmental or political disruption.

Myanmar — Probability that Western FDI recovery begins before 2029: 15%. The conditions for Western FDI recovery — genuine political transition, sanctions removal, international institutional re-engagement, and judiciary independence — are not in place and not credibly on a path to realisation within three years. The most likely scenario is continued Chinese economic deepening, modest Indian engagement at the margins, and continued Western sanctions and divestiture.

Myanmar — Probability that garment exports fall below \$3 billion annually by 2027: 50%. The 40% US tariff, factory closure acceleration, and EU ethical sourcing pressure form a compounding negative feedback loop. Unless tariff relief is granted (unlikely under current US policy direction) or Chinese brands rapidly absorb the redirected production volume (possible but involves different market positioning), the sector will continue contracting.

Regional — Probability that the Mekong corridor (all three countries combined) reaches \$25 billion in manufactured exports by 2030: 45%. Cambodia's growth trajectory is positive and plausibly reaches \$18–20 billion in GFT alone by 2030. Laos' manufacturing base remains too thin to contribute meaningfully. Myanmar's trajectory is more likely negative than positive over this horizon. The combined figure is achievable only if Cambodia sustains momentum and Myanmar stabilises.

China factor — Probability that China's economic share in all three countries (FDI, debt, infrastructure) increases rather than decreases by 2030: 80%. The structural drivers — geographic proximity, Belt and Road financial mechanisms, Myanmar's Western isolation — are deeply entrenched. No alternative financing source matches Chinese scale, speed, or political conditionality flexibility in this region.

IX. Investment Implications

The Mekong Manufacturing Corridor offers a segmented opportunity landscape that demands country-level differentiation rather than regional aggregation.

Cambodia represents the strongest near-term investment case among the three, with \$5.1 billion in 2025 FDI confirming market confidence. The garment sector is past peak growth in percentage terms but retains absolute momentum. The more interesting investment thesis is in Cambodia's emerging electronics and electrical component assembly sector — an area where rising Chinese labour costs and trade war dynamics make Cambodia's combination of low wages, RCEP membership, EU duty preferences, and political stability increasingly attractive to Taiwanese, South Korean, and Japanese manufacturers seeking China-adjacent but non-China production bases.

SEZ infrastructure investment — industrial park development, logistics, cold chain — is a capital-efficient way to access Cambodia's manufacturing growth without taking direct operational exposure to political or EBA risk. The 11 Chinese-funded SEZs face ESG scrutiny from institutional investors; SEZs with non-Chinese governance structures and transparent labour standards offer premium positioning for brands and investors facing Western supply chain due diligence requirements.

Laos offers a long-horizon infrastructure and energy investment thesis, heavily dependent on sovereign credit risk tolerance. The electricity export sector — power purchase agreements with Thai and Chinese utilities, anchored by hydropower assets — is the most bankable cashflow stream in the Lao economy. The railway corridor logistics opportunity (logistics platforms, cold storage at station nodes, agri-processing facilities) is earlier-stage but capitalises on the rail cost reduction advantage documented by the World Bank.

The debt overhang means any investment involving Lao government counterparties or sovereign guarantees carries elevated credit risk. Private-sector investments with direct revenue streams from Thai or Chinese utilities — rather than pass-through Lao government revenue — are structurally safer.

Myanmar is, at present, not a viable destination for Western institutional capital. The sanctions environment, supply chain ethics exposure, kyat depreciation risk, and operational impossibility of conducting meaningful due diligence in a conflict state create a risk profile that no conventional ESG or responsible investment framework can accommodate. The exception is humanitarian and development finance institutions working at the community level — health, agriculture, microfinance — which can operate with appropriate safeguards and do not constitute support for the military economy.

For investors with a 7–10 year horizon and high risk tolerance, Myanmar's eventual normalisation — if it occurs — would create one of Southeast Asia's most significant frontier investment opportunities: a country of 54 million people with substantial agricultural, mineral, and maritime resources, decades of pent-up development demand, and a manufacturing wage base that would be the region's lowest. That opportunity is not 2026. It is, at best, 2029–2032 and dependent on political transition conditions that cannot currently be forecast with confidence.

X. Data Sources

All figures in this report are sourced from live web searches conducted on 28 August 2026. No figures originate from Claude training data.

Cambodia — Garment Sector

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BLMIM API Status: Offline (localhost:8742 unreachable at time of research — August 28, 2026). All data sourced via live web search only. No training data used for any market figure.

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